

Increasing volume on Europe's structured products markets

EUR 278 billion invested in European structured products markets / investment product issuance rises

The trading volume of investment and leverage products on reporting European financial markets totalled EUR 37 billion in the second quarter. Turnover decreased by 25 percent on a quarter-by-quarter basis. Taking a year-on-year view, though, turnover increased by 45 percent. The market data was sourced by the European Structured Investment Products Association (EUSIPA) from its members and analysed by Derivative Partners AG.

The members of EUSIPA who provide the figures for the market report include Zertifikate Forum Austria (ZFA), the Belgian Structured Investment Products Association (BELSIPA), Association Française des Produits Dérivés de Bourse (AFPDB), Deutscher Derivate Verband (DDV), Associazione Italiana Certificati e Prodotti di Investimento (ACEPI), the Netherlands Structured Investment Products Association (NEDSIPA), the Swedish Exchange Traded Investment Products Association (SETIPA), and the Swiss Structured Products Association (SSPA).

Second-quarter turnover in investment products on European trading venues amounted to EUR 9 billion, 24 percent of the total. This represents a decrease of 50 percent on the previous quarter, and of 21 percent on the same quarter the previous year. Turnover in leverage products (Warrants, Knock-Out Warrants, and Constant Leverage Certificates) totalled EUR 28 billion in the period from April to June, representing 76 percent of total turnover. On a year-on-year basis, turnover in leverage products doubled, though it decreased 11 percent from the previous quarter.

At the end of June, trading venues located in reporting EUSIPA markets were offering 475,781 investment products and 1,210,852 leverage products. This was a 10 percent increase on the previous quarter and a 12 percent decrease year on year.

Banks issued 1,487,677 new investment and leverage products in the second quarter of 2020, down 15 percent on the previous quarter, but up 25 percent year on year. In total, 227,243 new investment products were launched, accounting for 15 percent of new issuance; the 1,260,434 new leverage products represent 85 percent of the total.

For Austria, Belgium, Germany, and Switzerland, the **market volume of investment and leverage products** issued as securities stood at EUR 278 billion at the end of the second quarter, 2 percent higher on a year-on-year basis and 12 percent up on the previous quarter.

At the end of June, the market volume of investment products stood around EUR 261 billion – an increase of 10 percent quarter on quarter and a slight decrease of 1 percent year on year.

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The outstanding volume of leverage products totalled EUR 17 billion at the end of June. This represents a 44 percent increase on the previous quarter and a significant increase of 85 percent on a year-on-year basis.

About EUSIPA

EUSIPA represents the interests of the European structured investment products business. The focal point of its activities are derivative instruments such as structured investment products and warrants. EUSIPA aims to create an attractive and fair regulatory framework for these financial products.

The umbrella association acts as a contact for politicians and the European Securities and Markets Authority (ESMA) in all questions concerning structured products. Whenever the need arises, the association is at hand to provide expert advice and opinions, thus playing an active role in the policy dialogue process.

Greater protection for investors as well as more comprehensible and transparent products are important concerns for the association. Together with its members, it is actively engaged in promoting Europe-wide standards throughout the sector. These include clear product classification, standardised technical terms, and a broad commitment among the member associations to abide by a code of practice for the sector.

The members of EUSIPA that provide the information for the market report are:



EUSIPA Market Report

on Structured Investment and Leverage Products

Q2/2020



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1. Highlights

Turnover: Decreasing market activity compared to last quarter

In the second quarter of 2020, turnover in structured investment and leverage products in note format accounted for 37 bn EUR across markets which is a decrease of 25% compared to the preceding quarter (49.5 bn EUR) but an increase of 45% compared to the equivalent quarter in 2019 (25.6 bn EUR). Leverage products accounted for a turnover of 28 bn EUR in Q2 2020. Compared to the last year equivalent quarter Q2 2019 their turnover doubled while it decreased by 11% compared to the preceding quarter Q1 2020. Turnover in non-leverage investment products decreased both when compared to Q1 2020 (by 50%) and against Q2 2019 (by 21%).

Outstanding Volume: Increasing numbers

The Q2 2020 figures for the Austrian, Belgian, German¹ and Swiss² markets indicate a total amount of 278 bn EUR held in structured products, which is an increase of 12% compared to the preceding quarter Q1 2020 and of 2% compared to the last year equivalent quarter Q2 2019.

Number of New Listings: Only investment products increase

The overall number of new listings decreased during Q2 2020 when measured against the preceding quarter Q1 2020 (1'487'677 versus 1'757'879 products in Q1 2020). The decrease was driven by leverage products, the number of those which were newly issued decreased by 19%. As for investment products, the number of new listings increased by 11% when compared to the preceding quarter Q1 2020. The number of new listings for investment products increased by even 33% when seen on a year-to-year basis against the last year equivalent quarter Q2 2020.

Total Number of Products: Increasing total number of products

Markets of contributing EUSIPA member associations reported 1'686'633 products as open (non-matured) in Q2 2020, which is an increase of 10% compared to the preceding quarter Q1 2020, while on an annual basis the number of non-matured products shrank by 12%. The segment of investment products saw a rise by 19% when compared against the preceding quarter Q1 2020 (from 400'050 in Q1 to 475'781 products in Q2 2020).

¹ The German figures are sourced in from the 16 issuers assembled under the roof of Deutsche Derivate Verband (DDV) and entail assets from the sales of listed note-based structured retail products to customers based in Germany. The 16 issuers cover more than 90% of the German market in these products.

² The Swiss figures are sourced in from the Swiss National Bank and represent all assets in listed note-based structured retail products held in Swiss depots of issuers domiciled in Switzerland. The figures include therefore, to a small extent, also assets from product sales of these issuers outside Switzerland. The Swiss National Bank has extended the circle of the reportable institutions for the statistics of the securities held in bank's client deposits. The survey group consists now also of institutions with a special field of business. In case of such institutions with a special field of business and especially for deposits which are stored centrally there are only securities included that are not already stored at another reportable bank and reported by it.

2. Quarterly overview (Q2/2020)

	 Austria	 Belgium	 France	 Germany	 Italy	 Netherlands	 Sweden	 Switzerland ¹	 EUSIPA
Exchange Turnover (Mio. EUR)									
1 Investment Products	172	623	31	3.682	1.884	8	547	2.114	9.061
11 Capital Protected	n/a	n/a	0	34	n/a	0	0	61	95
12 Yield-Enhancement	n/a	n/a	19	1.923	n/a	7	0	654	2.603
13 Participation	n/a	n/a	12	1.625	n/a	1	507	1.385	3.530
199 Various	n/a	n/a	0	100	n/a	0	40	14	154
2 Leverage Products	11	40	2.224	12.428	2.794	1.926	6.395	2.152	27.970
21 Without Knock-Out	n/a	n/a	546	4.068	n/a	154	70	n/a	4.838
22 With Knock-Out	n/a	n/a	1.402	7.215	n/a	1.734	2.241	n/a	12.592
23 Constant Leverage	n/a	n/a	276	1.145	n/a	38	4.084	n/a	5.543
Various	n/a	n/a	0	n/a	n/a	0	0	n/a	0
Total	183	663	2.255	16.110	4.678	1.934	6.942	4.266	37.031
Total change - Δ in % to Q2/19 ²	3	-16	118	83	-33	79	92	38	45
Total change - Δ in % to Q1/20 ³	-32	-45	9	-13	-51	-8	-13	-46	-25
Outstanding Volume (Mio. EUR)									
1 Investment Products	13.733	15.036	n/a	59.301	n/a	n/a	n/a	172.697	260.767
11 Capital Protected	n/a	n/a	n/a	23.731	n/a	n/a	n/a	44.152	67.883
12 Yield-Enhancement	n/a	n/a	n/a	26.622	n/a	n/a	n/a	67.985	94.607
13 Participation	n/a	n/a	n/a	4.431	n/a	n/a	n/a	58.101	62.532
199 Various	n/a	n/a	n/a	4.517	n/a	n/a	n/a	2.459	6.976
2 Leverage Products	167	2	n/a	2.569	n/a	n/a	n/a	14.308	17.046
21 Without Knock-Out	n/a	n/a	n/a	1.334	n/a	n/a	n/a	n/a	1.334
22 With Knock-Out	n/a	n/a	n/a	911	n/a	n/a	n/a	n/a	911
23 Constant Leverage	n/a	n/a	n/a	324	n/a	n/a	n/a	n/a	324
Various	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	0
Total	13.900	15.038	n/a	61.870	n/a	n/a	n/a	187.005	277.813
Total change - Δ in % to Q2/19 ²	-4	-5	n/a	-8	n/a	n/a	n/a	7	2
Total change - Δ in % to Q1/20 ³	4	3	n/a	9	n/a	n/a	n/a	14	12

Source: Country Associations, Derivative Partners

¹ Please note that the product category 'Investment Products with Reference Entities' exists only in Switzerland. Values for this category are therefore shown as 'Various Investment Products'.

² Field indicates per cent change between Q2/2020 and equivalent last year quarter Q2/2019.

³ Field indicates per cent change between reporting quarter Q2/2020 and previous quarter Q1/2020.

2. Quarterly overview (Q2/2020)

	 Austria	 Belgium	 France	 Germany	 Italy	 Netherlands	 Sweden	 Switzerland ¹	 EUSIPA
Number of New Listings on Exchange									
1 Investment Products	1.140	83	585	221.444	971	147	26	2.847	227.243
11 Capital Protected	n/a	n/a	0	13	n/a	0	1	22	36
12 Yield-Enhancement	n/a	n/a	548	103.833	n/a	125	9	2.659	107.174
13 Participation	n/a	n/a	37	117.576	n/a	22	11	162	117.808
199 Various	n/a	n/a	0	22	n/a	0	5	4	31
2 Leverage Products	1.807	1.292	51.546	1.118.923	5.447	55.833	12.856	12.730	1.260.434
21 Without Knock-Out	168	n/a	9.910	295.340	n/a	193	2.175	n/a	307.786
22 With Knock-Out	1.022	n/a	40.514	777.643	n/a	55.177	9.043	n/a	883.399
23 Constant Leverage	0	n/a	1.122	45.940	n/a	463	1.638	n/a	49.163
Various	0	n/a	0	n/a	n/a	0	0	n/a	0
Total	2.947	1.375	52.131	1.340.367	6.418	55.980	12.882	15.577	1.487.677
Total change - Δ in % to Q2/19 ²	191	200	8	22	117	256	93	48	25
Total change - Δ in % to Q1/20 ³	48	n/a ⁴	-41	-15	0	5	0	-21	-15
Number of Exchange Listed Products									
1 Investment Products	3.595	1.558	1.393	445.231	5.421	503	504	17.576	475.781
11 Capital Protected	n/a	n/a	0	882	n/a	0	58	575	1.515
12 Yield-Enhancement	n/a	n/a	1.264	269.153	n/a	377	78	14.992	285.864
13 Participation	n/a	n/a	129	173.505	n/a	126	326	1.751	175.837
199 Various	n/a	n/a	0	1.691	n/a	0	42	258	1.991
2 Leverage Products	3.385	822	49.120	1.073.353	9.152	28.312	17.856	28.852	1.210.852
21 Without Knock-Out	990	n/a	20.837	562.126	n/a	362	4.145	n/a	588.460
22 With Knock-Out	2.395	n/a	26.113	438.318	n/a	27.113	7.738	n/a	501.677
23 Constant Leverage	0	n/a	2.170	72.909	n/a	837	5.973	n/a	81.889
Various	0	n/a	0	n/a	n/a	0	0	n/a	0
Total	6.980	2.380	50.513	1.518.584	14.573	28.815	18.360	46.428	1.686.633
Total change - Δ in % to Q2/19 ²	-9	-22	-5	-14	21	31	10	11	-12
Total change - Δ in % to Q1/20 ³	11	48	-4	11	13	15	15	-2	10

Source: Country Associations, Derivative Partners

¹ Please note that the product category 'Investment Products with Reference Entities' exists only in Switzerland. Values for this category are therefore shown as 'Various Investment Products'.

² Field indicates per cent change between Q2/2020 and equivalent last year quarter Q2/2019.

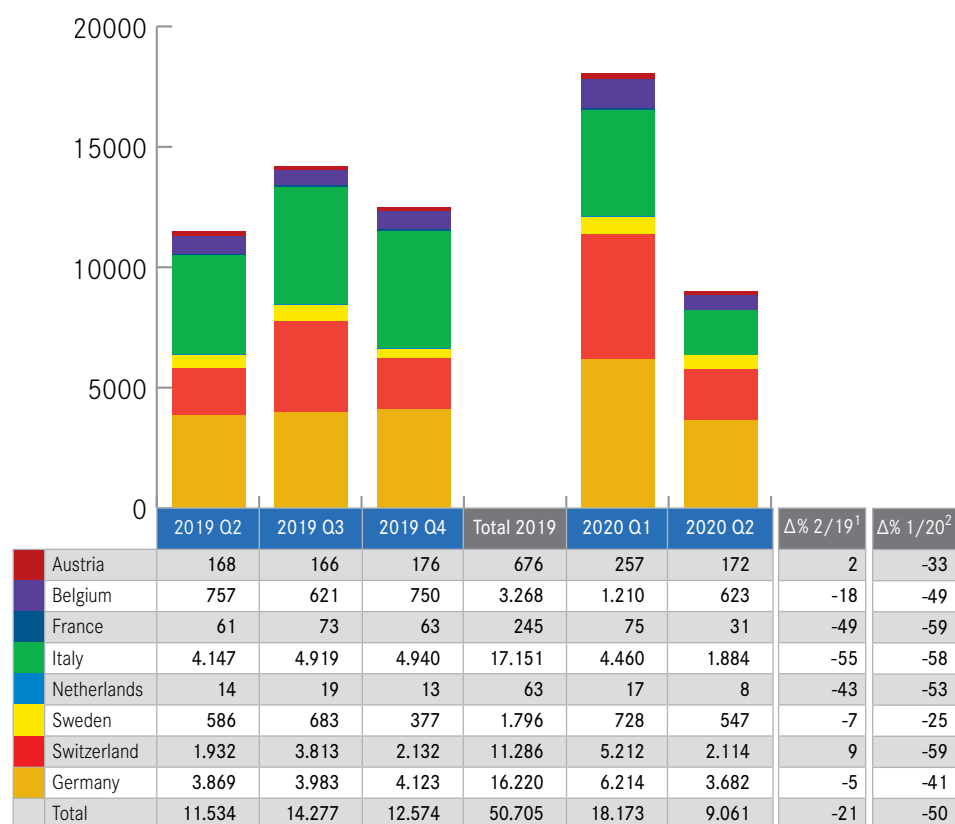
³ Field indicates per cent change between reporting quarter Q2/2020 and previous quarter Q1/2020.

⁴ Reporting disruption for leverage products in Q1 due to business transformation, no delta available.

3. Exchange turnover

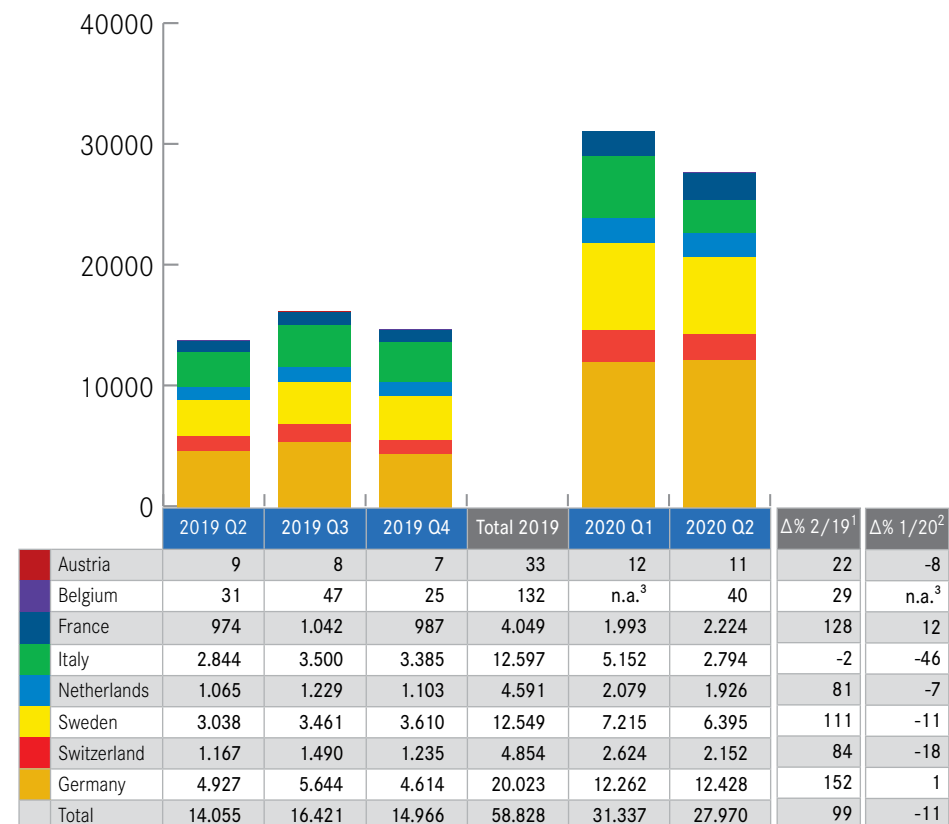
Investment Products

in Mio. EUR



Leverage Products

in Mio. EUR



Source: Country Associations, Derivative Partners

¹ Field indicates per cent change between Q2/2020 and equivalent last year quarter Q2/2019.

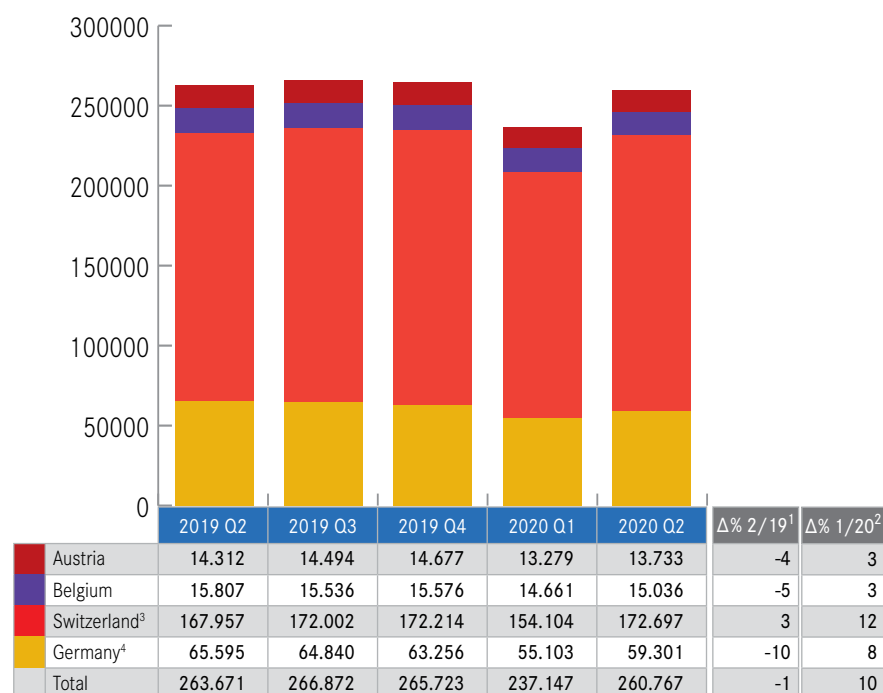
² Field indicates per cent change between reporting quarter Q2/2020 and previous quarter Q1/2020.

³ Reporting disruption for Q1 due to business transformation of commercial entities. Comparison from Q3 onwards.

4. Outstanding volume

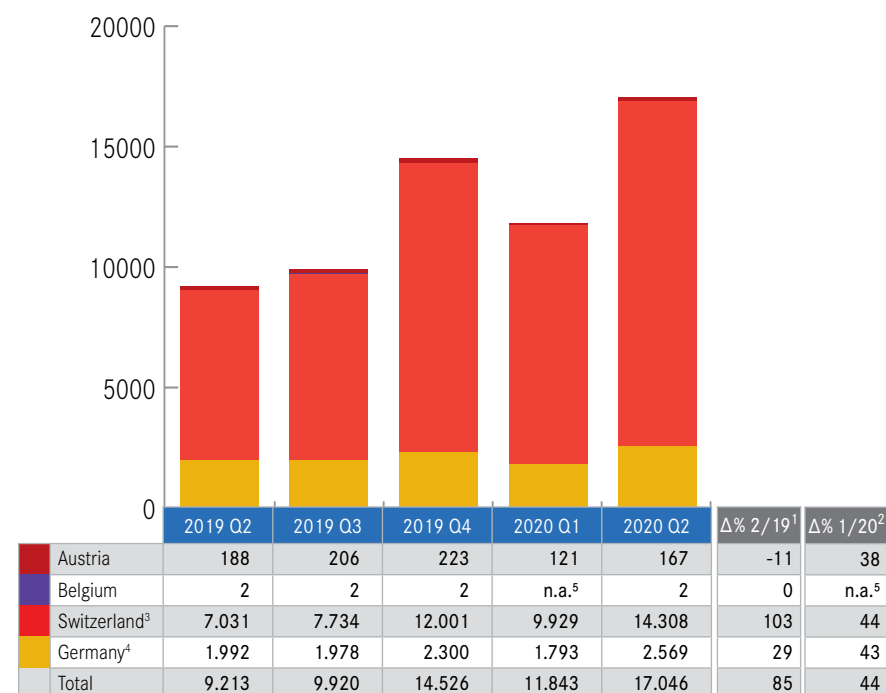
Investment Products

in Mio. EUR



Leverage Products

in Mio. EUR



Source: Country Associations, Derivative Partners

¹ Field indicates per cent change between Q2/2020 and equivalent last year quarter Q2/2019.

² Field indicates per cent change between reporting quarter Q2/2020 and previous quarter Q1/2020.

³ The Swiss figures are sourced in from the Swiss National Bank and represent all assets in listed note-based structured retail products held in Swiss depots of issuers domiciled in Switzerland.

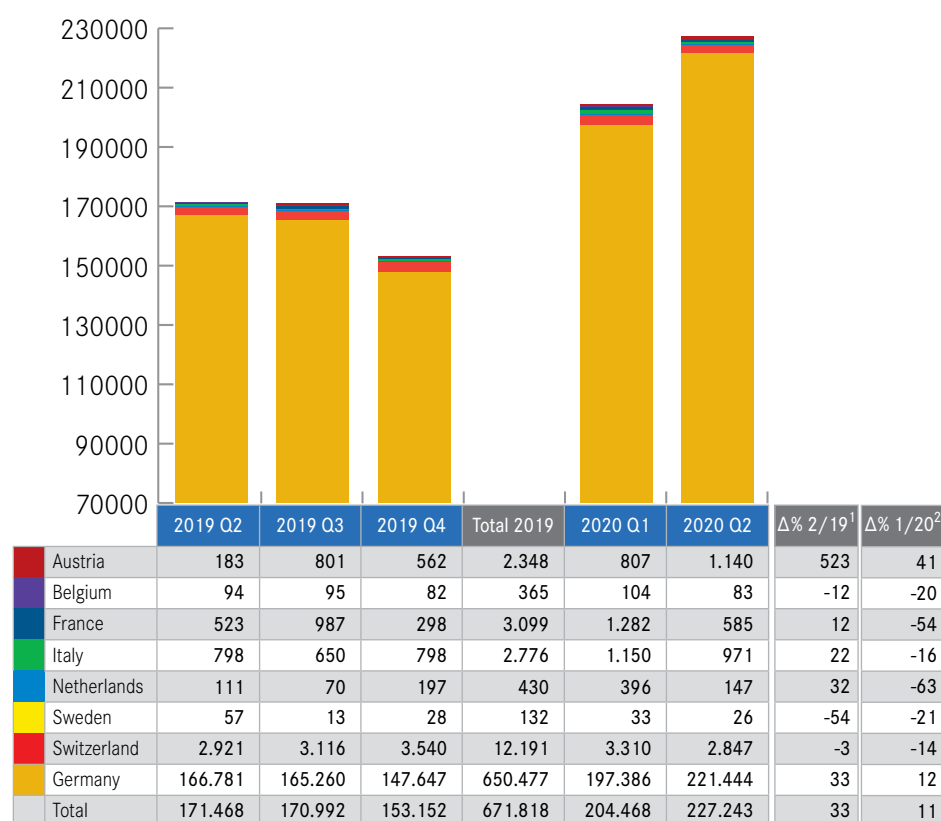
The figures include therefore, to a small extent, also assets from product sales of these issuers outside Switzerland.

⁴ The German figures are sourced in from the 16 issuers assembled under the roof of Deutsche Derivate Verband (DDV) and entail assets from the sales of listed note-based structured retail products to customers based in Germany.

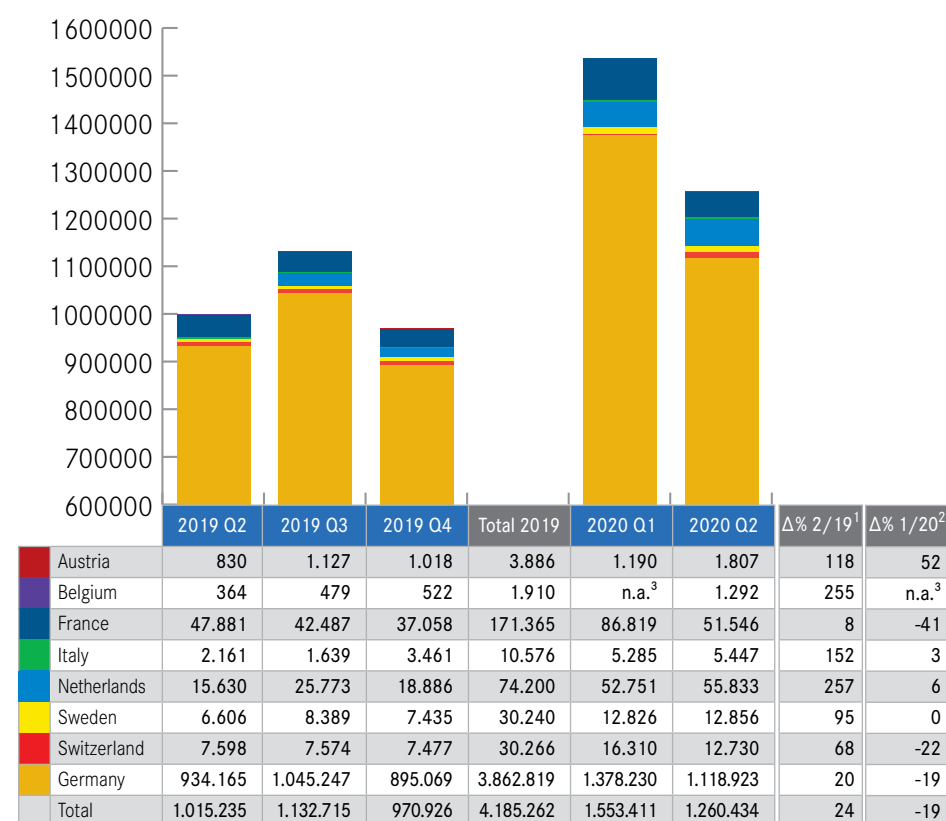
⁵ Reporting disruption for Q1 due to business transformation of commercial entities. Comparison from Q3 onwards.

5. Number of new listings on exchange

Investment Products



Leverage Products



Source: Country Associations, Derivative Partners

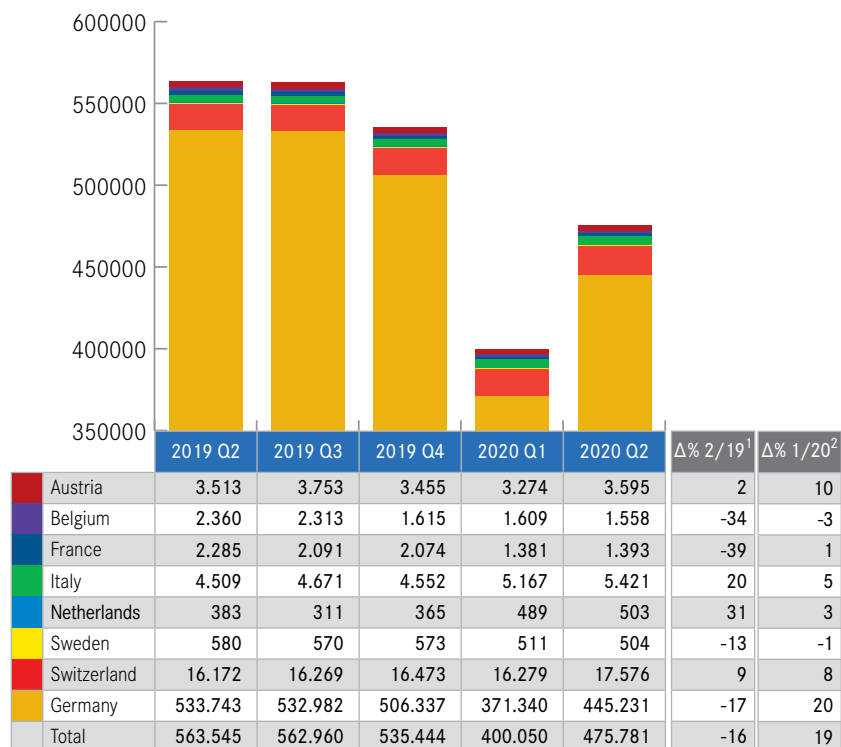
¹ Field indicates per cent change between Q2/2020 and equivalent last year quarter Q2/2019.

² Field indicates per cent change between reporting quarter Q2/2020 and previous quarter Q1/2020.

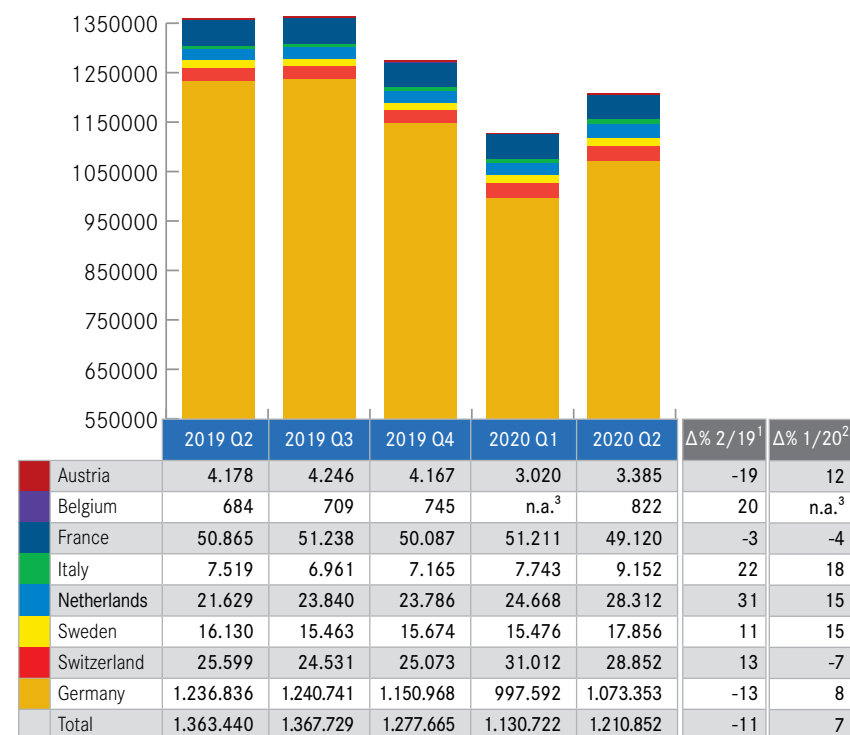
³ Reporting disruption for Q1 due to business transformation of commercial entities. Comparison from Q3 onwards.

6. Number of exchange listed products

Investment Products



Leverage Products



Source: Country Associations, Derivative Partners

¹ Field indicates per cent change between Q2/2020 and equivalent last year quarter Q2/2019.

² Field indicates per cent change between reporting quarter Q2/2020 and previous quarter Q1/2020.

³ Reporting disruption for Q1 due to business transformation of commercial entities. Comparison from Q3 onwards.

7. Appendix

Data sources

EUSIPA Members

Derivative Partners AG

Key date is 30th of June 2020. The exchange rates for CHF/EUR and SEK/EUR are defined at the last trading day of each quarter.

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Further information about Structured Investment Products is provided by the country associations on their websites:

Austria

Zertifikate Forum Austria (ZFA)

www.zertifikateforum.at



France

Association française des produits d'investissement de détail et de bourse (AFPDB)

www.afpdb.org



Germany

Deutscher Derivate Verband (DDV)

www.derivateverband.de



Italy

Associazione Italiana Certificati e prodotti di Investimento (ACEPI)

www.acepi.it



Netherlands

Netherlands Structured Investment Products Association (NEDSIPA)

www.nedsipa.nl



Sweden

Swedish exchange-traded investment products association (SETIPA)

www.setipa.se



Switzerland

Swiss Structured Products Association (SSPA)

www.svsp-verband.ch



Belgium

Belgian Structured Investment Products Association (BELSIPA)

www.belsipa.be

